

# Exception Policy

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## 1. Purpose and Scope

This policy governs the process for approving loan applications that fall outside standard Credit Policy (POL-CR-001), Risk Policy (POL-RK-001), or Collateral Policy (POL-CL-001) thresholds. Exceptions require documented compensating factors and elevated approval authority.

## 2. Subprime Exception Policy

Applicants with a FICO score below 620 are not eligible for standard underwriting but may be considered under the Subprime Exception Policy if at least two of the following compensating factors are present:

- DTI ratio below 30%
- 24+ months in current employment with the same employer
- Liquid reserves equal to 6+ months of the proposed payment
- No delinquency of 30+ days in the past 12 months

Subprime exceptions on secured products must additionally meet the enhanced collateral requirement in POL-CL-001 Section 4, and require Credit Committee approval regardless of loan amount.

## 3. High-Risk (Grade G) Exceptions

Applicants classified as Risk Grade G (PD above 35%, per POL-RK-001 Section 3) may only be approved by the Credit Committee, and only when compensating factors sufficient to offset the elevated PD are documented in the file. Under no circumstance may a Grade G applicant be approved through automated decisioning.

## 4. Documentation Exceptions

Applicants using the Alternative Documentation Program or Alternative Credit Data Program (POL-CR-001 Sections 5-6) are, by definition, operating under a documented exception and must be reviewed by at least a Senior Underwriter, even if the resulting PD score would otherwise qualify for auto-approval.

## 5. Exception Documentation Requirements

Every approved exception must be logged with: the specific policy provision being excepted, the compensating factors relied upon, the approving authority, and the date of approval. Exception volume is reported to the Credit Risk Committee monthly, and any individual underwriter approving exceptions at a

rate significantly above the portfolio average is subject to targeted file review.

## **6. Explicit Limits on Exception Authority**

No exception may waive: (a) legally required disclosures, (b) the lien perfection requirement in POL-CL-001 Section 5, or (c) the prohibition on auto-approving Risk Grade G applicants in Section 3 of this policy. These limits cannot themselves be excepted by any approval authority.